AC241 – Uses of Accounting Information II

Chapter 4 – Activity-Based Costing, Lean Production, and the Costs of Quality

Key Terms

1. **Activity-Based-Costing (ABC)** – A costing system that identifies the various activities performed in a firm and uses multiple cost drivers (non-volume as well as volume based cost drivers) to assign overhead costs (or indirect costs) to products, services and / or customers. ABC recognizes the causal relationship of cost drivers with activities.

2. **Activity-Based Management (ABM)** - A management approach that focuses on managing activities as a way of eliminating waste, reducing delays and defects, and increasing profits while satisfying customer needs.

3. **Appraisal Costs** – Costs that are incurred to identify defective products before the products are shipped to customers.

4. **Batch-Level Activities** – Activities that must be performed every time a batch of a particular product is produced, regardless of the number of units in the batch.

5. **Cost Distortion** – Overcosting some products while undercosting others. Occurs when indirect costs are allocated with cost drivers that do not relate well to the actual incurrence of those costs.

6. **Cost of Quality Report** - A report that details appraisal cost, prevention cost, internal failure cost, and external failure cost.

7. **Departmental Overhead Rates** - A different predetermined overhead rate is set for each department of a factory, rather than having a single predetermined rate for the entire factory.

8. **External Failure Costs** - External Failure Costs come from costs associated with defects that are found after the customer receives the product or service; may include warranty repairs, recalls, legal actions and lost sales.

9. **Facility-Level Activities** - Also called "*organization sustaining activities",* supports business operations in general and cannot be traced to individual units, batches, or products.

10. **Internal Failure Costs** - Category of quality costs incurred because products and services fail to conform to requirements before making delivery to customers, such as scrap and rework.

11. **Lean Production** - An assembly-line methodology developed originally for Toyota and the manufacturing of automobiles. It is a philosophy focused on eliminating waste and empowering workers, reduced inventory and improved productivity. The ten rules of lean production can be summarized:

    1. Eliminate waste
    2. Minimize inventory
    3. Maximize flow
    4. Pull production from customer demand
    5. Meet customer requirements
    6. Do it right the first time
    7. Empower workers
    8. Design for rapid changeover
    9. Partner with suppliers
    10. Create a culture of continuous improvement

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12. **Non-Value-Added Activities** - Activities that do not contribute to the product or the process and should therefore be eliminated. Non-value added activities include expediting, waiting, moving, counting, scheduling, and queue time.
13. **Plantwide Overhead Rate** – A single predetermined overhead rate is used in all departments of a company, rather than having a separate rate for each department, to allocate overhead to every product produced.

14. **Prevention Costs** - Prevention costs are costs of all activities that are designed to prevent poor quality from arising in products or services. Examples include the costs for:
    - Quality planning
    - Supplier evaluation
    - New product review
    - Error proofing
    - Capability evaluations
    - Quality improvement team meetings
    - Quality improvement projects
    - Quality education and training

15. **Product-Level Costs** - Activities that relate to specific products and must be carried out regardless of how many batches or units of a product are produced or sold. Examples include: designing a product, advertising a product, maintaining product specifications, performing engineering change notices and developing special testing routines.

16. **Total Quality Management (TQM)** - The continuous process of reducing or eliminating errors in manufacturing, streamlining supply chain management, improving the customer experience and ensuring that employees are current with their training. Total quality management aims to hold all parties involved in the production process as accountable for the overall quality of the final product or service.

17. **Unit-Level Activities** - Activities that arise as a result of the total volume of goods and services that are produced, and that are performed each time a unit is produced.

18. **Value Engineering** – Eliminating waste in the system by making the company's processes as effective as and efficient as possible.

19. **Value-Added Activities** – Activities for which a customer is willing to pay because they add value to the final product or service.

20. **Waste Activities** - Waste is any activity that does not add value to the product or service. The activity does not add value if the customer is not willing to pay more money for this activity. Also referred to as "Non-Value-Added Activities".